

market. So, when you know that markets are doing well, it is time to start taking out money at a handsome profit and invest it in gold, because gold would typically go down at that stage. The opposite is also true.

When the markets drop, investors typically lose trust in stocks and economies of the world and turn back to the most trusted and traditional investment i.e., gold. You will learn about this in more detail and why it happens in later sections of the book. However, the important thing to keep in mind is that once you have learnt about this relationship between gold, stock prices and the health of the economy in general, you can use this knowledge to your advantage.

Although the price of gold can be volatile in the short-term, it has always maintained its value in the long-term. Over the years, it has served as a hedge against inflation and the erosion of major currencies, and thus is an investment well worth considering. In fact, we saw it earlier that Gold is true money and rest everything is a derivative of gold.

Figure 3.2 represents the returns from gold vs the returns from stocks during specific crisis triggers across the world. This should give you a fair idea on the importance of gold as a strong part of your portfolio. The returns from gold have, more or less, always been consistent irrespective of any market crises that may have occurred in the last three decades.

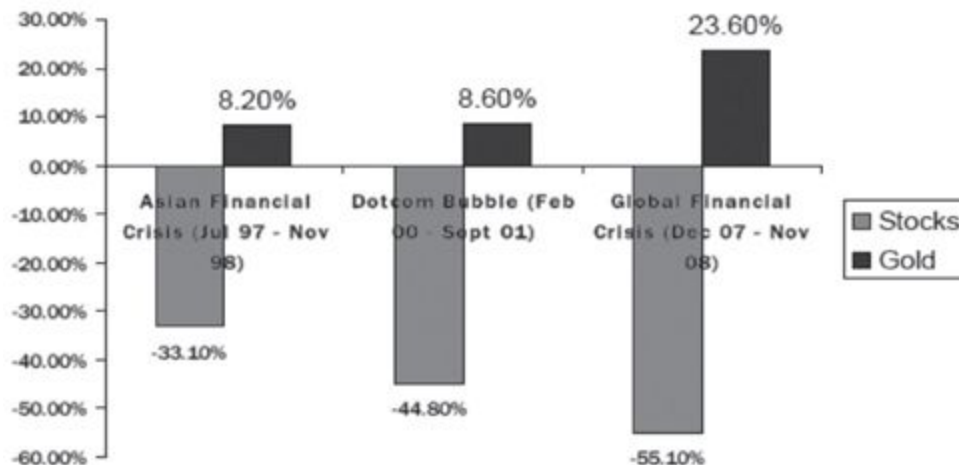


Fig 3.2: *Gold vs stocks*